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Case Number: 26SMCV00214 Hearing Date: July 17, 2026 Dept: 511

Tentative Ruling

Judge Upinder S.

Kalra, Department 511

HEARING DATE: July

17, 2026

CASE NAME: Keith

B. Canter, Trustee of the Canter Schoen Family Trust u/t/d March 17, 2015 v.

Sea Star Estates Homeowners Association

CASE NO.: 26SMCV00214

MOTION

TO DETERMINATION OF GOOD FAITH SETTLEMENT

MOVING PARTY: Plaintiff

Keith B. Canter, Trustee of the Canter Schoen Family Trust u/t/d March 17, 2015

and Defendant Sea Star Estates Homeowners Association[1]

RESPONDING PARTY(S): Non-party Morningstar, LLC

REQUESTED RELIEF:

1. An

order determining the settlement made between Plaintiff and Defendant to be made in good faith pursuant to CCP § 877.6.

TENTATIVE RULING:

1. Motion

for determination of good faith settlement is DENIED.

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

On January 14, 2026, Plaintiff Keith B. Canter, Trustee of the Canter Schoen Family Trust u/t/d March 17, 2015 (Plaintiff) filed a complaint against Defendant Sea Star Estates Homeowners Association (Defendant) with two causes of action for: (1) declaratory relief; and (2) California Coastal Act violation.

Plaintiff alleges that after redesigning his Malibu residence to comply with a federal court injunction, he submitted the redesign plans to Defendant on November 26, 2024, but they failed to formally approve or disapprove the plans within the 45-day period required by the CC&Rs, causing the plans to be "deemed approved." He further alleges that Defendant later claimed it retained authority to review and ultimately disapproved the redesign nearly a year later, creating a controversy over whether the redesign is validly approved. Plaintiff also asserts that Defendant is violating the California Coastal Act by allowing prohibited palm trees to remain throughout the subdivision despite coastal permit restrictions requiring native, non-invasive landscaping.

On April 4, 2026, Plaintiff filed notice of settlement of entire case.

On June 1, 2026, Plaintiff filed the instant motion for determination of good faith settlement. On July 7, 2026, Non-Party Morningstar, LLC filed a response to the motion. On July 9, 2026, Plaintiff filed a reply.

LEGAL STANDARD:

CCP § 877.6(a)(1) provides, in relevant part, that, on noticed motion, "[a]ny party to an action wherein it is alleged that two or more parties are joint tortfeasors or co-obligors on a contract debt shall be entitled to a hearing on the issue of the good faith of a settlement entered into by the plaintiff . . . and one or more alleged tortfeasors or

co-obligors. . . .”² “A determination by the court that the settlement was made in good faith shall bar any other joint³ tortfeasor⁴ or co-obligor from any further claims against the settling⁵ tortfeasor⁶ or co-obligor for equitable comparative contribution, or partial or comparative indemnity, based on comparative negligence or comparative fault.”⁷ (CCP § 877.6(c).)⁸ Although a determination that a settlement was in good faith does not discharge any other party from liability, “it shall reduce the claims against the others in the amount stipulated” by the settlement.⁹ (CCP § 877(a).)¹⁰

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“The party asserting the lack of good faith shall have the burden of proof on that issue.”¹¹ (CCP § 877.6 (d).)¹²

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In¹³ *City of Grand View Terrace v. Superior Court*¹⁴ (1987)¹⁵ 192 Cal.App.3d 1251, 1261, the court provided the following guidance regarding a motion for a good faith settlement determination:¹⁶

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This court notes that of the hundreds of motions for good faith determination presented for trial court approval each year, the overwhelming majority are unopposed and granted summarily by the trial court.¹⁷ At the time of filing in many cases, the moving party does not know if a contest will develop.¹⁸ If each motion required a full recital by declaration or affidavit setting forth a complete factual response to all of the¹⁹ Tech-Bilt²⁰ factors, literally thousands of attorney hours would be consumed and inch-thick motions would have to be read and considered by²¹ trial courts in an exercise which would waste valuable judicial and legal time and clients’ resources. . . . That is to say, when no one objects, the barebones motion which sets forth the ground of good faith, accompanied by a declaration which sets forth a brief background of the case is sufficient.²²

If the good faith settlement is contested, section 877.6, subdivision (d), sets forth a workable ground rule for the hearing by placing the burden of proving the lack

of good faith on the contesting party. Once there is a showing made by the settlor of the settlement, the burden of proof on the issue of good faith shifts to the nonsettlor who asserts that the settlement was not made in good faith. If contested, declarations by the nonsettlor should be filed which in many cases could require the moving party to file responsive counterdeclarations to negate the lack of good faith asserted by the nonsettling contesting party.

(192 Cal.App.3d 1251, 1260-1261 [citation omitted].)

In *Tech-Bilt, Inc. v.*

Woodward-Clyde & Associates (1985) 38 Cal.3d 488, 499, the California Supreme Court identified the following nonexclusive factors courts are to consider in determining if a settlement is in good faith under section 877.6:

“a rough approximation of plaintiffs’ total recovery and the settlor’s proportionate liability, the amount paid in settlement, the allocation of settlement proceeds among plaintiffs, and a recognition that a settlor should pay less in settlement than he would if he were found liable after a trial. Other relevant considerations include the financial conditions and insurance policy limits of settling defendants, as well as the existence of collusion, fraud, or tortious conduct aimed to injure the interests of nonsettling defendants.” Not every factor will apply in each case. (*Dole Food Co., Inc. v. Sup. Ct. (Shell Oil Co.)* (2015) 242 Cal.App.4th 894, 909.)

The evaluation of whether a settlement was made in good faith is required to “be made on the basis of information available at the time of settlement.” (*Tech-Bilt, Inc.*, supra, 38 Cal.3d at p. 499.) “[A] defendant’s settlement figure must not be grossly disproportionate to what a reasonable person, at the time of the settlement, would estimate the settling defendant’s liability to be.” [Citation.]” (*Ibid.*)

“The party asserting the lack of good faith, who has the

burden of proof on that issue (§ 877.6, subd. (d)), should be permitted to demonstrate, if he can, that the settlement is so far 'out of the ballpark' in relation to these factors as to be inconsistent with the equitable objectives of the statute. Such a demonstration would establish that the proposed settlement was not a 'settlement made in good faith' within the terms of section 877.6." (Id. at pp. 499-500.)

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"[A] court not only looks at the alleged tortfeasor's potential liability to the plaintiff, but it must also consider the culpability of the tortfeasor vis-à-vis other parties alleged to be responsible for the same injury. Potential liability for indemnity to a nonsettling defendant is an important consideration for the trial court in determining whether to approve a settlement by an alleged tortfeasor. [Citation.]" (TSI Seismic Tenant Space, Inc. v. Superior Court (2007) 149 Cal.App.4th 159, 166.)

ANALYSIS:

Plaintiff contends relief is warranted because the settlement allows Defendant to avoid risk and large expense from litigating CDP violations and remodel approval, Plaintiff received needed approvals in exchange for waiver of fees plus indemnification of the HOA, and there is no evidence of fraud or collusion.

Non-party Morning Star, LLC argues relief is not warranted because, among other things, this settlement does not fall within the purview of CCP § 877.6 since there are no alleged joint tortfeasors, no co-obligors on a single contract obligation, and no monetary debt.[2]

Plaintiff replies that there is a common contract because the subdivision's CDP binds all homeowners, that civil penalties or compliance costs satisfies the requirements of CCP § 877.6, there is no justification to continue to conduct discovery, and the settlement was made in good faith.

As articulated above, CCP § 877.6(a)(1) provides: "[a]ny party to an action wherein it is alleged that two or more parties are joint tortfeasors or co-obligors on a contract debt shall be entitled to a hearing on the issue of the good faith of a settlement entered into by the plaintiff. . . and one or more alleged tortfeasors or

co-obligors.”

After reviewing the statutory scheme and relevant authority, this case does not fall within the scope of CCP § 877.6. To start, it is undisputed there are no joint tortfeasors. None are alleged and this argument is not developed in the papers.

Next, there are no co-obligors on a contract debt at issue in this matter. (See *Tiffin Motorhomes, Inc. v. Superior Court* (2011) 202 Cal.App.4th 24, 29 [discussing that the parties must be co-obligors on a single contract – i.e., the same contractual obligation.]) In fact, there is no contract.

At issue in Plaintiff's complaint are Defendant's CC&Rs and the subdivision's Coastal Development Permit. (Compl. ¶¶ 8, 14, 16, 17, 19, 21, 22 [CC&Rs], 24, 27 [violations run with the land], 28, 30.) The CC&Rs and the development permit are equitable servitudes which, while interpreted with contract principles, are not themselves contracts. (See *Ridley v. Rancho Palma Grande Homeowners Assn.* (2025) 114 Cal.App.5th 788, 789.) “The primary characteristic of a covenant running with the land is that both liability upon it and enforceability of it pass with the transfer of the estate.” (*Anthony v. Brea Glenbrook Club* (1976) 58 Cal.App.3d 506, 510.) “The benefits or burdens pass by implication of law rather than under principles of contract.” (*Ibid.*) The court has found no authority, and none has been presented by the parties, that either of these are contracts for purposes of CCP § 877 or 877.6. “[T]he purposes and intent of the 1987 legislation amending section 877.6 to include ‘co-obligors on a contract debt’ was to provide a similar efficient mechanism to determine the good faith settlement of a multiparty contract action.” (*Pacific Estates, Inc. v. Superior Court* (1993) 13 Cal.App.4th 1561, 1571.)

Without a contract, the court need not develop whether there are co-obligors. There is no language in the statute “suggest[ing] [it applies] to litigants other than ‘joint tortfeasors’ ... or ‘co-obligors on a contract debt.’” (*Tiffin*, supra, 202 Cal.App.4th at p. 29.) Thus, the statute does not apply here.

Accordingly, the court DENIES Plaintiff's motion for determination of good faith settlement.

CONCLUSION:

For

the foregoing reasons, the Court decides the pending motion as follows:

1. Motion

for determination of good faith settlement is DENIED.

Moving party is to give notice.

IT IS SO ORDERED.

Dated: July 17, 2026 _____ Upinder
S. Kalra

Judge
of the Superior Court

[1]

The court notes this motion is filed by Plaintiff and purports to also be on behalf of Defendant.

[2]

Non-party Morning Star, LLC also requests a continuance to conduct discovery regarding the Tech-Bilt factors and argues the settlement was otherwise not made in good faith. The court declines to develop these arguments. The court also DENIES Morning Star, LLC's request for judicial notice as superfluous to this ruling.